century-long five wave bull market that may have peaked at that time. Figures 20-2 and 20-3 show that both the rate of return from real estate investments and the rate of change in existing home sales prices registered peaks in late 1979 that have not since been exceeded.

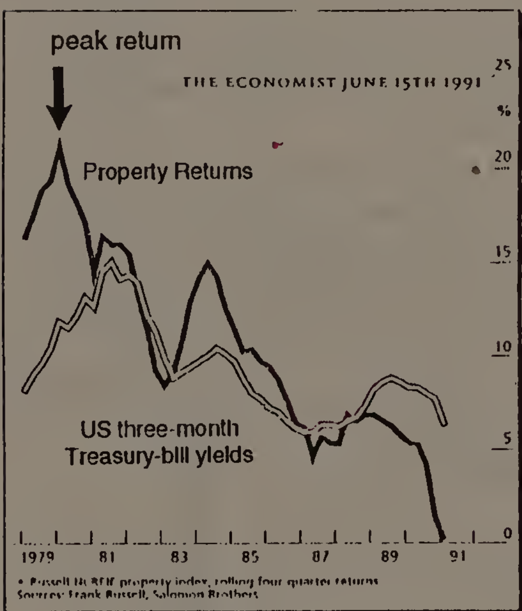

Figure 20-2

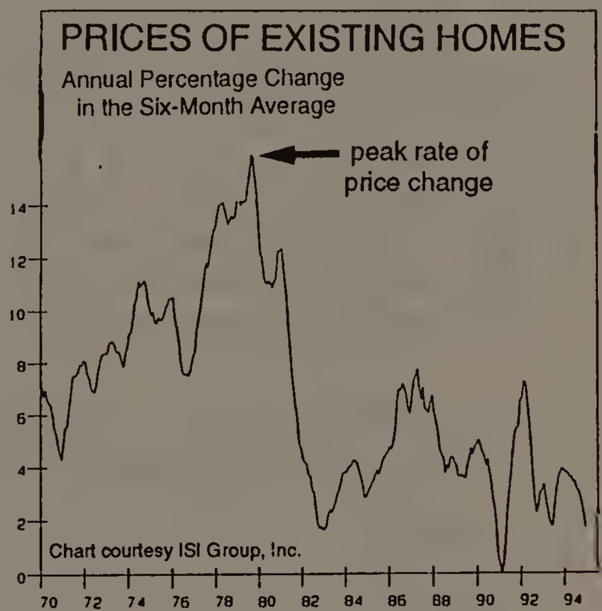

Figure 20-3

The recessions of 1980 and 1982 produced a drop for wave A. This drop is shown in Figure 20-1 and 20-4, and is implied in Figure 20-3.

Through the rest of the 1980s, a selective buying mania traveled from region to region, ultimately affecting most areas of the country. The mania coexisted with pockets of collapse in various areas at different times, occasionally followed by recovery. In the early 1990s, the mania was manifest as a component of the equity boom, as stocks of real estate investment trusts (REITs) soared. In Elliott Wave terms, the advance since 1982 has been a "B" wave of an A-B-C correction in several measures, such as existing home sales, as labeled in Figure 20-4.

Other measures indicate that the post-1982 rise has been not a "B" wave, but a fifth wave, as will be illustrated later in this chapter. Either way, the property market in the past fifteen years has been a different animal from what it was from the 1940s to 1980, and the difference portends an across-the-board reversal to the downside. Let's examine the history of Elliott Wave analysis in this area.